ZIRP? Rapid interest-rate increases?—but the giveback off the highs was substantial: In 2022, the S&P 500 was down 19%, the Russell 2000 was off 22%, and the Nasdaq 100 came down 33%.

A year later, the indices were just about back to all-time highs. Thirteen months after the June 2022 lows, and nine months after the October bottom, markets returned all the way back to where they were pre-Covid.

Let's take a look at this round trip, to see where it led so many astray.

The crowd

Did the crowd's YOLO enthusiasm infect you on the way up? Were you a late FOMO buyer in 2021? Did the palpable panic in June/October 2022 lead to ill-advised sell(s)?

The wisdom of the crowd is why the efficient markets work *most of the time*; at the extremes, you must recognize when the rational crowd turns into an unthinking mob.

Framing and context matters

Major indices had an enormous run in the prior decade of 2010s. It is useful to put drawdowns of 20% or 30% into proper context when they follow gains of 100% (SPX) and 200% (NDX).

Markets go up and down; it is easier to ride out a drawdown when you realize the giveback is but a small percentage of the prior gains.

Forecasting folly

Did you get sucked into the endless predictions of doom and gloom? Were you convinced by the people who *saw the recession coming*? Never forget that forecasts are marketing. Or as John Kenneth Galbraith observed: "The only function of economic forecasting is to make astrology look respectable."